

MERGER AND ACQUISITIONS

ASSIGNMENT 1 – EQUITY RESEARCH CASE STUDY

You are a Junior Equity Research Analyst

Scenario: You work at an investment firm. Your fund manager needs actionable stock recommendations using fundamental analysis, market behavior, and risk assessment.

PART A: COMPANY ANALYSIS & PORTFOLIO CONSTRUCTION

Given Data (FY24)

Company	Price (Rs)	EPS (Rs)	ROE (%)	Debt/Equity	P/B
Reliance	2,480	103	9.1	0.47	2.1
TCS	4,050	135	51.2	0.02	14.6
HDFC Bank	1,520	74	16.8	6.4	2.7
Infosys	1,720	66	31.4	0.05	8.9
Tata Motors	975	38	28.9	1.4	4.3

Task 1: Calculate & Interpret Metrics

A. Calculate P/E Ratio ($\text{Price} \div \text{EPS}$) for each company.

B. Answer these questions:

- Which companies have high P/E ratios? What does this indicate about market expectations?
- Calculate $\text{ROE} \div (1 + \text{Debt/Equity})$ for each company. Which has the best quality of earnings?
- Classify debt risk levels:
 - Low Risk: $\text{Debt/Equity} < 0.5$
 - Moderate: $0.5 - 1.0$
 - High Risk: > 1.0

PART B: PYTHON TASK – SIMPLE LIVE STOCK ANALYSIS USING YFINANCE

Objective: Use live stock market data to understand price movement and compare stock performance.

Step 1: Download Stock Data

Use the following stocks:

RELIANCE.NS, TCS.NS, HDFCBANK.NS, INFY.NS, TATAMOTORS.NS

- Import yfinance, pandas, and matplotlib
- Download last 1 year daily data

- Display first 5 rows and column names

Step 2: Simple Price-Based Features

- Current Price
- 52-Week High
- 52-Week Low
- 1-Year Return (%)

Create a summary table with these values.

Step 3: Basic Visual Analysis

- Line chart of price movement of one stock
- Bar chart of 1-Year Returns of all stocks

Step 4: Short Interpretation

- Best performing stock in last 1 year
- Most stable stock visually
- One stock for short-term trading and one for long-term holding with reason

SUBMISSION REQUIREMENTS

1. Report (PDF):

- Executive summary (key findings)
- Part A: Portfolio selection with reasoning
- Part B: Summary of Python results

2. Python Notebook (.ipynb):

- Clean, commented code
- Output and charts visible

Submission link will be shared separately.